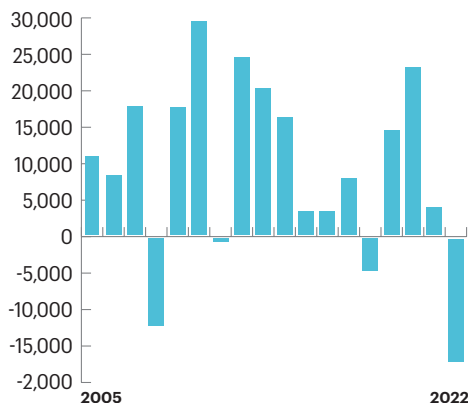
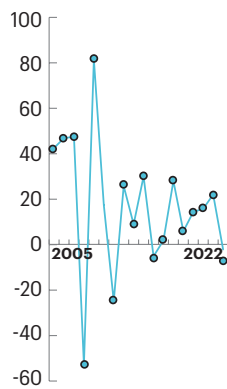


NET FPI FLOWS ARE FALLING IN 2022, BUT THE SENSEX HAS BARELY DIPPED

Net annual FPI flows (in \$ mn)



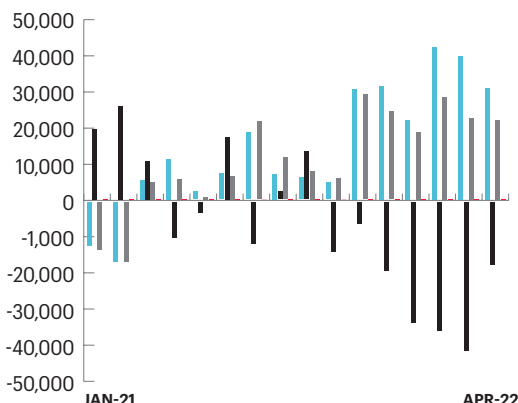
Change in Sensex (in percentage)



SOURCE: BSE, NSDL

THE RISING CLOUD OF DOMESTIC INVESTORS

Monthly net investment in equities (₹ crore)



SOURCE: SEBI, NSDL

■ DII ■ FPI ■ MF

ter rose over 4 per cent. In 2021, FPIs put in \$3.8 billion; the Sensex rose almost 22 per cent—its best annual gain since 2017.

While the global stock markets and the pack of emerging markets have seen heightened volatility with a clear downward bias—on the back of a mix of macroeconomic and geopolitical concerns (with foreign investors offloading shares in huge quantities across markets)—the Indian markets have stayed resilient. Analysing the data reveals that this resilience is ‘Made in India’, with domestic financial institutions and retail investors emerging as a strong counterforce to foreign investors.

Let’s examine this strong counterforce. First up are MFs, which have registered record flows through systematic investment plans (SIPs). According to industry body Association of Mutual Funds in India (AMFI), SIP contributions touched a record ₹12,328 crore in March. On an overall basis, MFs have seen net inflows in eight of the past 12 months with cumulative net flows during the period pegged at nearly ₹2.47 lakh crore, AMFI data says. Further, BSE data shows that domestic insti-

tutional investors—which primarily comprise banks, MFs and insurance companies—have net bought a cumulative ₹2.58 lakh crore in the past 14 months. Retail individual investors have also done their bit. As per NSE, since January 2021, every month has seen the addition of more than a million investors.

The rising force of domestic investors is also being talked about by policymakers. Recently, while announcing the mega initial public offering of Life Insurance Corporation of India, Tuhin Kanta Pandey, Secretary, Department of Investment and Public Asset Management, said that even as there are concerns in the markets and global sentiments are weak, Indian stock markets are benefitting immensely from domestic flows. “The fact is that while FPIs have withdrawn, domestic investors have filled in,” he had said.

THE FACT IS clearly established that a huge quantum of domestic flows is coming to the market and making it resilient amidst global uncertainties. But what exactly is

driving this liquidity to the markets even as the traditional avenues of investments—primarily real estate, gold and bank deposits—still exist?

“Domestic flows are coming to the market as people are abandoning physical assets and investing heavily in financial assets,” says Saurabh Mukherjee, Founder and Chief Investment Officer, Marcellus Investment Managers. He adds, “[The] reason being that physical assets have not delivered returns in the past five to six years. Further, there is no liquidity or rental yield in physical assets, plus they are tax-unfriendly and there is no capital appreciation. So, the business case for physical assets is completely broken. With each passing year, financialisation of assets is getting more robust and the vulnerability of domestic stock markets to foreign flows is getting lesser. Financialisation of Indian savings is a structural story now.”

This trend is being witnessed even as interest rates are at multi-year lows, which typically should have fuelled a liquidity rush towards physical assets like real estate. Currently, home loans are available quite cheap—with some banks offering